

ANNEXURE - VII TO THE REPORT OF THE BOARD OF DIRECTORS**Business Responsibility Report 2021-22**

This Report is prepared pursuant to provisions of Regulation 34 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Section A: General information about the Company

1. **Corporate Identity Number (CIN) of the Company:** L24110MH2000PLC124224
2. **Name of the Company:** Sumitomo Chemical India Limited
3. **Registered address:** Building No. 1, Ground Floor, Shant Manor Co-Op Housing Society Limited, Chakravarti Ashok 'X' Road, Kandivli (East), Mumbai - 400101.
4. **Website:** www.sumichem.co.in
5. **E-mail id (Investor Contact):** investor.relations@sumichem.co.in
6. **Financial Year reported:** April 1, 2021 to March 31, 2022
7. **Sector(s) that the Company is engaged in (industrial activity code-wise):** Agri – inputs: NIC Code 2021
8. **List three key products/services that the Company manufactures/provides (as in balance sheet):** The Company principally manufactures and provides 'agri-inputs' comprising of crop protection products, plant growth nutrients, composts and fertilisers. It also markets products related to environment health chemicals and animal nutrition products.
9. **Total number of locations where business activity is undertaken by the Company:**
 - a) **Number of International Locations (Provide details of major 5):** Two locations: China and Vietnam
 - b) **Number of National Locations:** 52
10. **Markets served by the Company-Local/State/National/International:** North America, Latin America, Europe, Asia, Australia, Africa and India

Section B: Financial details of the Company

1. **Paid up Capital(INR):** 4,991.46 million
2. **Total Turnover(INR):** 30,347.85 million
3. **Total profit after taxes (INR):** 4,337.33 million
4. **Total Spending on Corporate Social Responsibility (CSR)(including previous year's shortfall spent during the year) as percentage of profit after tax (%):** 1.69% of Profit after Tax for the financial year 2021-22
5. **List of activities in which expenditure in 4 above has been incurred:** Particulars given in the Annual Report on Corporate Social Responsibility activities in Annexure IV

Section C: Other details

1. **Does the Company have any Subsidiary Company/Companies?** Yes
2. **Do the Subsidiary Companies participate in the BR Initiatives of the Parent Company?** No
3. **Do any other entity/entities (e.g. suppliers, distributors, etc.) that the Company does business with participate in the BR initiatives of the Company?** No

Section D: BR information

1. Details of the Director/Directors responsible for BR

a) Details of the Directors responsible for implementation of the BR policy/policies

DIN Number	Name	Designation
00488127	Mr. Chetan Shah	Managing Director
07618601	Mr. Sushil Marfatia	Executive Director

b) Details of the BR head

Name: Mr. Chetan Shah

Designation: Managing Director

Telephone number: 022 42522200

E-mail id: chetan.shah@sumichem.co.in

2. Principle wise (as per NVGs) BR Policy/policies

The National Voluntary Guidelines on Social, Environment and Economic Responsibility of Business (NVGs) released by the Ministry of Corporate Affairs has adopted nine areas of Business Responsibility. These briefly are as follows:

- P1 Businesses should conduct and govern themselves with ethics, transparency and accountability**
- P2 Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle**
- P3 Businesses should promote the well-being of all employees**
- P4 Businesses should respect the interest of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalised**
- P5 Businesses should respect and promote human rights**
- P6 Businesses should respect, protect, and make efforts to restore the environment**
- P7 Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner**
- P8 Businesses should support inclusive growth and equitable development**
- P9 Businesses should engage with and provide value to their customers and consumers in a responsible manner**

S.N.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	Do you have a policy/policies for.....	Y	Y	Y	Y	Y	Y	Note (a)	Y	Y
2	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	-	Y	Y
3	Does the policy conform to any national/international standards? see (b) below	Y	Y	Y	Y	Y	Y	-	Y	Y
4	Has the policy been approved by the Board? If yes, has it been signed by MD/owner/CEO/appropriate Board Director? see (c) below	Y	Y	Y	Y	Y	Y	-	Y	Y
5	Does the company have a specified committee of the Board/Director/Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	-	Y	Y

S.N.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
6	Indicate the link for the policy to be viewed see (d) below	Y	Y	Y	Y	Y	Y	-	Y	Y
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	-	Y	Y
8	Does the company have in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	Y	-	Y	Y
9	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievance related to the policy/policies?	Y	Y	Y	Y	Y	Y	-	Y	Y
10	Has the company carried out independent audit/evaluation of the working of this policy by an internal or external agency? see (e) below	Y	Y	Y	Y	Y	Y	-	Y	Y

Notes:

- We do not have documented policy. We have healthy well understood practices on the subject.
- The policies, wherever possible, are developed and aligned with the policies of the holding company, SEBI Regulations, Companies Act, 2013, MCA guidelines, applicable laws, rules and regulations, as the case may be.
- The policies have been approved by the Board wherever required by law, rules and regulations. Other policies are developed and approved internally by appropriate authorities and are signed by MD/Functional Heads as required/appropriate.
- Some policies like Code of Conduct and Ethics for Directors and Senior Management Employees, CSR Policy, Whistle Blower Policy, etc. are displayed on the Company's website (www.sumichem.co.in). Other policies are available on Intranet/ in physical form with suitable access given to the concerned persons.
- Audit/evaluation of working of the policies is carried out by internal auditors; Committees of Directors depending upon scope of their work and in other cases by CEO/Functional Heads/Internal Committees specifically formed for monitoring – as the case may be.

3. Governance related to BR

- Indicate the frequency with which the Board of Directors, Committee of the Board or CEO meet to assess the BR performance of the Company:** Once every quarter.
- Does the Company publish a BR or Sustainability Report? What is the hyperlink for viewing this report?**
The Company does not publish BR or Sustainability Report.

Section E: Principle-wise performance

Principle 1

- Does the policy relating to ethics, bribery, and corruption cover only the company?**
The Policy covers not only the Company but also its business partners assigned with specific jobs.
- How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management?**
The Company received one complaint during the past financial year which has been addressed by the management satisfactorily.

Principle 2

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities

- a) To save natural water resource, sewage treatment plants have been installed in the Company's Bhavnagar and Gajod plants to process civic sewage water to convert into usable industrial water. The recycled water meets about 50% of industrial water requirements of these plants. Similarly, an RO plant has been installed for treatment and recycling of waste water in the Company's Tarapur plant which meets about 25 to 30% of water requirement of the Tarapur plant.
- b) Several initiatives have been taken to reduce energy consumption as well as to reduce green- house gas impact on environment.

2. For each such product, provide the following details in respect of resources use (energy, water, raw material etc.) per unit of product (optional)

Not Applicable.

3. Does the company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so:

The Company has a policy to make increasing use of green energy and as a part of this initiative the Company has set up Windmills with capacities of 5875 KW and a Solar Power Plant with capacity of 748 KW. Power generated by the Windmills/ Solar Power Plant is captively consumed for production.

4. Has the Company taken any steps to procure goods and services from local and small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve the capacity and capability of local and small vendors?

The Company encourages and nurtures small and medium scale vendors based in vicinity of the Company's manufacturing units for its material and services supply requirements. The Company executives visit these vendor units and interact with them for quality, systems and standards improvements. The Company continues to support self-help groups who supply materials and services for the Company's manufacturing units. The Company is working on initiatives for holding skill and service improvement programs for such small scale vendors.

5. Does the company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste (separately as 10%). Also, provide details thereof, in about 50 words or so:

In the Company's Bhavnagar and Gajod factories, process waste generated by the manufacturing processes undergoes treatment for recovery process and the recovered chemical ingredients are recycled. The recovered/recycled chemical ingredients account for about 1-2% of the inputs.

Pursuant to Plastic Waste Management Rules, 2016, ("Rules"), the Company has outsourced arrangement for collection and recycling of plastic-waste in compliance with the Rules for its Bhavnagar, Gajod and Vapi plants.

Principle 3

Sr. No.	Particular	As on 31st March 2022
1	Please indicate the total number of employees	1696
2	Please indicate the total number of employees hired on temporary /contractual/casual basis	3717
3	Please indicate the number of permanent women employees	53
4	Please indicate the number of permanent employees with disabilities	14
5	Do you have an employees association that is recognized by management	Yes
6	What percentage of your permanent employees is member of this recognized employee association?	22%

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year

No complaints were filed during the financial year and no complaints were pending at the end of the financial year. No case under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 was filed during the financial year.

8. What percentage of your under mentioned employees were given safety & skill up gradation training in the last year?

Sr. No.	Particular	% of Employees
1	Permanent Employees	72%
2	Permanent women employees	24%
3	Casual Temporary/Contractual Employees	72%
4	Employees with Disabilities	21%

Principle 4

1. Has the company mapped its internal and external stakeholder?

Yes

2. Out of the above, has the Company identified the disadvantaged, vulnerable and marginalised stakeholders:

Yes

3. Are there any special initiatives taken by the company to engage with the disadvantaged, vulnerable, and marginalised stakeholders? If so, provide details thereof, in about 50 words or so:

The Company provides employment opportunities to the locals including disadvantaged, vulnerable and marginalised. As a part of Corporate Social Responsibility initiative, the Company extends help to the disadvantaged, vulnerable and marginalised stakeholders. Such initiatives include supply of books to students, providing drinking water facilities, fodder for cattle, health check-up camps etc.

Principle 5

1. Does the policy of the Company on human rights cover only the company or extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?

The Code is applicable only to the Company.

2. How many stakeholder complaints have been received in the past financial year and what per cent was satisfactorily resolved by the management?

No Complaint received during the financial year.

Principle 6

1. Does the policy related to Principle 6 cover only the company or extends to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?

The Policy covers only the Company.

2. Does the company have strategies/initiatives to address global environmental issues such as climate change, global warming, etc.?

The Company does not have strategies/initiatives for global environmental issues.

3. Does the company identify and assess potential environmental risks?

Yes

4. Does the company have any project related to Clean Development Mechanism?

Yes

5. Has the company undertaken any other initiatives on clean technology, energy efficiency, renewable energy etc. If yes, please give hyperlink for web page etc:

The Company has set up Windmills with capacities of 5875 KW and a Solar Power Plant with capacity of 748 KW. This initiative contributes towards reduction in greenhouse gas emission and towards safe environment. Power generated by Windmills/Solar Power Plant is captively consumed for production.

6. Are the Emission/Waste generated by the company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes

7. Number of show cause/legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.

No show cause/legal notice received from pollution monitoring authorities during FY 2021-22. A compensation demand by Gujarat Pollution Control Board raised on the Company's Vapi plant in an earlier year is subject matter of court litigation and hence pending as on 31st March, 2022.

Principle 7

1. Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:

The Company is a member of trade associations like Federation of Indian Chamber of Commerce & Industry, Indian Merchants' Chamber, Crop Care Federation and Crop Life India and Pesticides Manufacturers and Formulations Association.

2. Have you advocated/lobbied through above association for the advancement or improvement of public good? If yes, specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others):

The Company's representatives are office bearers of some of the trade associations and actively participate in advocacy by such association in areas like reforms in agro-chemical industry, promoting good and progressive farm practices and sustainable growth of agriculture.

Principle 8

1. Does the Company have specified programmes/initiatives/projects in pursuit of the policy related to Principle 8? If yes, details thereof.

The Company has specified programmes/initiatives/projects in pursuit of the policy related to Principle 8. The details in brief are as under:-

The Company fulfills its role as a socially responsible corporate with environmental concern and works for welfare and sustainable development of community at large. The Company's CSR projects support the objective of achieving inclusive growth and overall development of communities.

These projects are in line with Company's CSR policy formulated pursuant to the provisions of the Companies Act, 2013 and are taken up at various work centers, manufacturing locations and other locations in India for the benefit of different segments of the society and specifically for the deprived and underprivileged.

The Company pursues CSR projects in the thrust areas specified under Schedule VII to the Companies Act, 2013. The major thrust areas include women empowerment, animal welfare; education related projects, conservation of natural resources, integrated rural development projects and health support related projects. The Company has undertaken various projects such as making available safe drinking water, support to farmers for setting up drip irrigation system, community hall

renovation, animal vaccination, ponds renovation, support for development of multispecialty hospital, pediatric heart surgeries of children from economically weaker sections, health check-up/eye check-up camps for needy children, skill development for farmers, support for urological surgeries, support for medical-infrastructure to the charitable trust hospital, solar based lights for weaker section families and support for roads in rural areas.

Details of the various programs/initiatives adopted by the Company are provided in the Annual Report on CSR activities forming part of the Directors' Report.

2. Are the programmes/projects undertaken through in-house team/own foundation/external NGO/government structures/any other organization?

The Company executes its CSR projects through its own in-house teams as well as through NGOs.

3. Have you done any impact assessment of your initiative?

The Company conducts 'need assessment studies' before conceiving and initiating the CSR projects. Baseline and impact studies and process documentation of CSR Projects are maintained and evaluated from time to time.

All projects are assessed under the agreed strategy, and are monitored at regular intervals by both in-house teams and implementing partners. The performance of CSR projects is measured against targets and budgets by the Company from time to time.

4. What is your Company's direct contribution to community development projects- Amount in INR and the details of the projects undertaken?

In Financial year 2021-22 the Company has spent ₹ 66.29 million on corporate social responsibility projects.

The information about the projects/activities undertaken by the Company is given in the Annual Report on CSR activities forming part of the Directors' Report.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

The Company's CSR programs are designed keeping in view the needs of the communities and their overall development. The Company encourages active engagement, contribution and participation in its CSR projects by the beneficiaries along with all key stakeholders such as Governments, village panchayats, communities, NGOs and other local institutions. The Company's implementing partners and in-house CSR teams engage and coordinate with key stakeholders for effective implementation of projects which helps in achieving desired end-results and long term sustenance of the initiatives.

The Company participates in Swachh-Bharat Mission to achieve the objective of 'open defecation free' towns/villages by constructing toilets.

Principle 9

1. What percentage of customer complaints/consumer cases are pending as on the end of financial year?

During 2021-22, no case was filed against the Company in Consumer Forums.

2. Does the company display product information on the product label, over and above what is mandated as per local laws? Yes/No/N.A? Remarks (additional information):

The Company displays on labels what is required as regulatory requirements. We comply with Insecticides Act, 1968; Insecticide Rules, 1971; Fertiliser (Control) Order 1985; Seed Act, 1966; Legal Metrology Act, 2009 and Legal Metrology (Packaged Commodities) Rules, 2011 on respective product labels.

3. Is there any case filed by any stakeholder against the company regarding unfair trade practices, irresponsible advertising and/or anticompetitive behaviour during the last five years and pending as on end of financial year?

In the last five years, no case has been filed against the Company, and there is no pending case as on end of the financial year, regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour.

4. Did your company carry out any consumer survey/consumer satisfaction trends?

Yes - as a part of ISO Certification process.